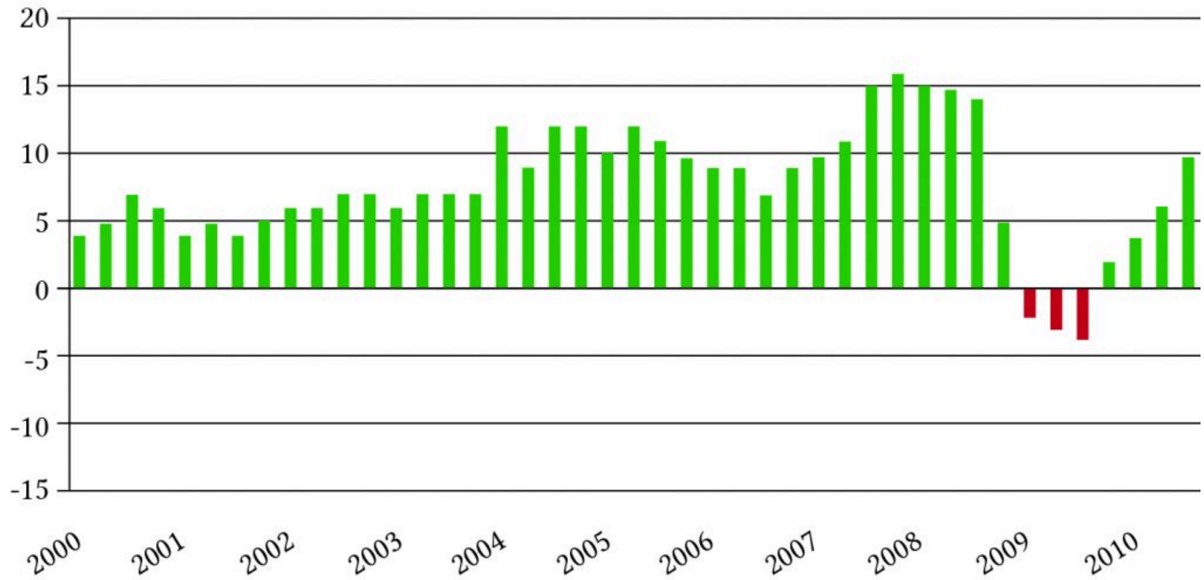
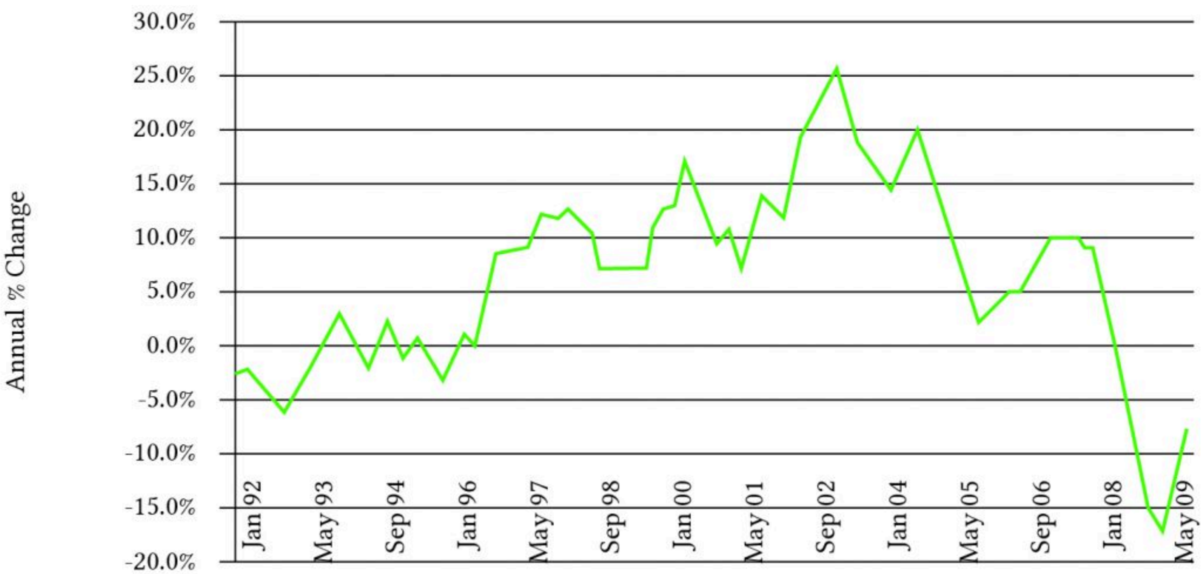


Figure 17.2. Year-to-year changes in housing prices.



Inflationary, nominal, and real interest rates. To understand price volatility of durables, it is necessary to describe inflationary, nominal, and real interest rates. Recall from your earlier training that the inflation rate i is equal to the rate of change in average prices, changes often linked to monetary or fiscal policies of governments. The nominal interest rate r depends on the rate of inflation and a real component that is dependent on factors other than the rate of inflation such as changing market conditions or changes in productivity. To describe the effects of inflation on the nominal interest, let one plus the nominal interest rate r equal one plus the real rate r^* times one plus the inflation rate *i* so that: